IN THE ARBITRATION BETWEEN
HOUSTON PROFESSIONAL FIRE FIGHTERS ASSOCIATION, LOCAL 341, ASSOCIATION
AND
CITY OF HOUSTON, CITY

OPINION AND AWARD
AAA CASE NO. 01-25-0005-2917
CONSOLIDATED CBA GRIEVANCES
ISSUE:
Three Percent PAY ESCALATOR

Arbitrator:	William E. Hartsfield
Collective Bargaining Agreement (CBA):	2024-2029
Representing the Association:	Richard C. Mumey The Mumey Law Firm PLLC 8441 Gulf Fwy, Suite 600 Houston, Texas 77017
Also present for the Association:	Marty Lancton, Association President Roy Cormier, Association Financial Director
Representing the City:	Deidra A. Norris, Section Chief N. Lucy Chukworah, Sr. Asst. City Attorney Labor, Employment & Civil Service Section City of Houston Legal Department 900 Bagby, 3rd Floor Houston, TX 77002
Also present for the City:	Fire Chief Tom Muñoz Rachelle McHenry, Dept. Finance Admin.
Witnesses called by the Association:	Marty Lancton, Association President Chief To Muñoz
Witnesses called by the City:	Rochell McHenry, Dept. Finance Admin.
Decision:	The Grievance is sustained.

OPINION AND AWARD

ISSUES

1. At the beginning of the hearing, the parties submitted these issues for decision by the Arbitrator in a final and binding Award per CBA Article 14:

Issue 1: Has the City of Houston violated the 2024-2029 Collective Bargaining Agreement Article 17 § 2, further clarified by the Memorandum of Understanding, by failing to provide an additional three percent pay increase as a result of collaboration between the parties to identify new revenues for the City?

Issue 2: Under the 2024-2029 Collective Bargaining Agreement Article 18, is the Association time barred from recovering the full amount of accrued sick reserve in the calculation retirement pay for members that selected either the Deferred Cash out Option or the Rollover Election and retired prior to June 28, 2025?

PROCEDURE

2. The parties selected the Arbitrator through the American Arbitration Association, held a hearing on January 21-22, 2026, in Houston, Texas, and submitted the above issues to this arbitration for a final and binding Award per CBA Article 14.

3. Both parties made opening statements on Issue 1 on the first hearing day and on Issue 2 on the second hearing day.

4. The parties labeled their exhibits to correspond to the two issues. They labeled exhibits related to Issue 1 with an A, and exhibits related to Issue 2 with a B.

5. The parties submitted and the Arbitrator admitted Joint Exhibits 1-3 related to both issues and Joint Exhibits A1, A2A, A2B, A3A, A3B, A4A, A4B, and A5-A9 related to Issue 1 (JX), Association Exhibits A1 and A2 related to Issue 1 (UX), and City Exhibits A1A, A1B and A2-A6 related to Issue 1 (CX). The City withdrew City Exhibit A7 related to Issue 1. During the second day of the hearing, the parties announced a resolution of Issue 2 and withdrew the exhibits related to that issue.

6. The Arbitrator sequestered witnesses at the Association's request.

7. A Certified Shorthand Reporter did not attend the hearing. The City recorded the audio of the hearing and provided a copy to the Arbitrator and the Association.

8. Both parties made oral closings.

9. Both parties requested the Arbitrator to incorporate the settlement of the remaining Grievances. Attachment 1 is the parties' settlement of those Grievances, which settlement is incorporated by this reference for all purposes as if fully set out in this Award.

10. Both parties had a full opportunity to call, examine and cross-examine witnesses under oath, to offer exhibits, to object, and to urge their positions. The parties agreed that no issues of arbitrability existed as to Issue 1.

11. The City's Fire Fighters' and Police Officers' Civil Service Commission is responsible for maintaining the records for this proceeding required by applicable law.

12. The Arbitrator only considered evidence submitted at the hearing.

JURISDICTION

13. The parties agreed all conditions of the CBA (JX1) have been met. Also, the parties agreed that the Arbitrator had jurisdiction and the authority to issue a final and binding Award and to fashion an appropriate remedy for the issues submitted to this Arbitrator.

RELIEF SOUGHT BY THE ASSOCIATION

14. The Association requested that the Arbitrator sustain the Grievance and order the City to adopt immediately the three percent escalator pay raises for all classified HFD members and to pay all classified HFD members back pay from September 1, 2025 for all unpaid three percent escalator raises.

KEY CBA PROVISIONS

15. **ARTICLE 2**

DEFINITIONS

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5. "Chapter 174" means the Fire and Police Employee Relations Act, Vernon's Texas Code Annotated, Texas Local Government Code.

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7. "Civil Service Commission" means the Fire Fighters' and Police Officers' Civil Service Commission of the City of Houston, Texas.

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10. "Grievance" means a dispute involving the interpretation, application, or alleged violation of any provision of this Agreement.

11. "Member", "Firefighter", "Member of the Bargaining Unit" means any full time, permanent paid employee of the Houston Fire Department who has graduated from the Val Jahnke Training Academy and taken the oath of office and who has been hired in substantial compliance with Chapter 143 of the Texas Local Government Code excluding municipal employees (civilians), volunteer firefighters, applicants and the head of the Fire Department (Fire Chief).

16. **ARTICLE 6**

CIVIL SERVICE PROVISIONS

By entering into this Agreement, the parties recognize and agree that the provisions of this Collective Bargaining Agreement shall take precedence over conflicting civil service law provisions, including but not limited to the applicable sections of Chapters 141, 142 and 143 of the Texas Local Government Code, or the local civil service rules and regulations and ordinances of the City of Houston, and whenever the provisions of the Agreement specifically so state. All other statutory provisions and rules shall remain in full force in the same manner as on the date this Agreement became effective.

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17. ARTICLE 14 CONTRACT GRIEVANCE PROCEDURE

Section 1. The purpose of this grievance procedure is to establish an effective method for the fair, expeditious and orderly adjustment of grievances, and is exclusively for contract grievances. A grievance is defined as any dispute, claim, or complaint involving the interpretation, application or alleged violation of any provisions of this Agreement. The Association or any bargaining unit Firefighter may file a grievance under the terms of this Agreement. Each grievance shall be submitted on a form agreed to by the parties and must include: (1) a brief statement of the grievance and the facts or events on which it is based; (2) the section(s) of the contract alleged to have been violated; (3) where Maintenance of Standards is the basis of the contract grievance, the specific standard that is the basis of the complaint must be reasonably identified (however this portion of the grievance may be supplemented as to such detail no later than the Grievance Committee's determination on the grievance); (4) the remedy or adjustment sought; and (5) the Firefighter's signature, or if filed by the Association, the signature of the Grievance Committee Chairman or local Association President.

Section 2. Grievance Procedure:

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The arbitrator so selected shall, through the agency selected, be promptly notified of his selection and the parties in agreement with the arbitrator shall select a time, place and date for the hearing of the grievance.

(a)Within thirty (30) calendar days after conclusion of the hearing, the arbitrator shall issue a written opinion and ruling with respect to the issues presented, a copy of which shall be mailed or delivered to the Association and the City.

(b) With respect to the application, interpretation and enforcement of the provisions of this Agreement the decision of the arbitrator shall be final and binding on the parties to this Agreement.

(c) The arbitrator's authority shall be limited to the interpretation and application of the terms of this Agreement and/or any supplement thereto. The arbitrator shall have no jurisdiction or authority to establish provisions of a new agreement or variations of the present Agreement or to arbitrate away, in whole or in part, any provisions of amendments thereof.

(d) The party that does not prevail in a contract grievance shall bear all costs of the arbitrator. Where the arbitrator does not make an award to either the City or the Association, then both parties equally share the cost of the arbitrator. If a transcript of the proceedings is requested, the requesting party shall bear the cost for such transcript, unless otherwise agreed to by the parties.

(e) Each party shall be responsible for the cost of the attendance of its witnesses at a contract grievance hearing. If requested by a party, the other party shall provide a witness list to the opposing party no later than three (3) business days prior to the hearing. Each party to a hearing shall provide any subpoena duces tecum to the opposing party no later than seven (7) calendar days prior to the hearing.

(f) For the purpose of this Article only, "business day" shall be defined as working days excluding City holidays (observed date), any day the City closes due to emergency, such as inclement weather, Saturday or Sunday then the due date will fall on the next business day.

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18. **ARTICLE 17**

COMPENSATION

Section 1. Effective Date.

Base pay increases shall become effective the first day of that fiscal year and will be reflected in the paycheck of the first full pay period after July 1. Similarly, pay increases will be effective the first day of subsequent fiscal years and will be reflected on the paychecks of the first full pay period after July 1.

Section 2. Base Salary.

The annual base salary for all ranks shall receive an increase as follows:

Fiscal Year 25 (7/1/24 to 6/30/25) 10%

Fiscal Year 26 (7/1/25 to 6/30/26) 3% (with 3% escalator*)

Fiscal Year 27 (7/1/26 to 6/30/27) 3% (with 3% escalator*)

Fiscal Year 28 (7/1/27 to 6/30/28) 4% (with 2% escalator*)

Fiscal Year 29 (7/1/29 to 6/30/30) 4% (with 2% escalator*)

*Escalator percentages are contingent on joint efforts by the City and the Association to seek and ensure additional new revenues to the City for public safety.

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Section 20. Mutual Agreement.

If the actual fiscal experience of the Department requires some flexibility in scheduling or implementation dates under this Agreement, the Association Executive Board shall have the delegated authority to agree to temporary modifications in terms and/or implementation dates in this Agreement; provided however, that no such changes may exceed sixty (60) days without submission of an amendment to the Association membership for ratification.

Section 21. Preemption.

To the extent that any provision of this Article conflicts with or changes Chapter 141, 142, 143, or any other statute, executive order, local ordinance (including but not limited to City of Houston Ordinance No. 97-1575 and 93-623, and City Code Section 14-73) or rule, this Article shall supersede such provisions, as authorized by Section 174.005 or 174.006 of the Texas Local Government Code.

19. ARTICLE 25

JOINT LABOR-MANAGEMENT COMMITTEE

Section 1. Partnership

The Parties agree to establish and maintain a "Labor-Management Partnership" that will open a new era where the Association, the City, Fire Department Administration, and employees of the bargaining unit shall work together through Joint Labor Management Committees (JLMC) to create a workforce that is highly motivated, multiskilled, and technologically advanced to meet the everchanging needs of the Fire Department and the City of Houston.

Section 2. Purpose

The purpose of this Committee is to assist in developing a quality Labor Management relationship between the Parties. It is designed to provide a means for allowing the City, the Department and the Association to become full Partners in identifying problems, areas of concern, changes to working conditions within the organization and to develop viable solutions to these problems so that the mission of the Department can be accomplished in a more cost effective and efficient manner, while striving to enhance the working conditions of all employees of the Bargaining Unit.

Section 3. Guiding Principles & Values

Both parties recognize that mutual adherence to these values requires the constant effort of labor and management representatives.

(a) To recognize that labor and management have a mutual goal of ensuring the well-being and safety of all members of the bargaining unit and providing high quality service to the public.

(b) To work together to improve communications, enhance training, increase participative decision-making, and promote a labor-management relationship based upon mutual trust, respect, and understanding.

(c) To create labor-management partnerships by forming labor-management committees at appropriate levels, or adapting, as necessary, existing councils or committees if such groups exist.

(d) To provide systemic training to labor and management leaders on collaborative methods of dispute resolution, recognizing that this process allows management and union leaders to identify problems and craft solutions to better serve their members and the public.

(e) To promote these principles to our respective members at all levels of both organizations.

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20. **ARTICLE 30**

COMPLETE AGREEMENT

Section 1.

The parties agree that each has had full and unrestricted right and opportunity to make, advance, and discuss all matters properly within the province of collective bargaining. This Agreement constitutes the full and complete Agreement of the parties and there are no others, oral or written, except as specified in this Agreement. Each party for the term of this Agreement specifically waives the right to demand changes herein, whether or not the subjects were known to the parties at the time of execution hereof as proper subjects for collective bargaining; however, it is understood and agreed that the contract may be amended by mutual consent of the parties to this Agreement.

Section 2. Preemption of Local Government Code and Other Provisions.

The provisions of this Agreement shall supersede the provisions of any statute, executive order, local ordinance, or rule which are in conflict herewith, including for example and not by way of limitation, the contrary provisions of Chapters 141, 142 and 143 of the Texas Local Government Code and any other state or local Civil Service Provision; ordinances of the City of Houston; Rules and Regulations of the Firefighters and Police Officers Civil Service Commission for the City of Houston; and policies and procedures of the Houston Fire Department.

Section 3. Interim Amendments

The parties recognize that despite considerable effort to correctly capture the intent of each article contained within this Agreement, some issues may require alteration during the term of this Agreement to continue the effect of that intent and to make jointly acceptable amendments to this Agreement. This Agreement may be amended by written amendment signed by the Mayor and the Association provided that such amendments may not result in an expenditure of more than $50,000, and may involve operational changes. This is not to prohibit amendments that may result in cost savings to either party.

Section 4 Savings Clause

Should any provision of this Agreement be found to be inoperative, void or invalid by a court of competent jurisdiction, all other provisions of this Agreement shall remain in full force and effect for the duration of this Agreement, it being the intention of the parties that no portion of this Agreement or provision herein shall become inoperative or fail by reason of the invalidity of any other portion or provision.

(JX1) (bolding in original).

KEY MEMORANDUM OF UNDERSTANDING PROVISIONS

21. MEMORANDUM OF UNDERSTANDING REGARDING THE COLLECTIVE BARGAINING AGREEMENT 2025 THROUGH 2029 BETWEEN THE CITY OF HOUSTON, TEXAS AND HOUSTON PROFESSIONAL FIRE FIGHTERS ASSOCIATION, LOCAL 341 INTERNATIONAL ASSOCIATION OF FIRE FIGHTERS

This Memorandum of Understanding ("MOU") is being executed between the City of Houston, Texas (the "City") and the Houston Professional Fire Fighters Association, Local 341 International Association of Fire Fighters ("HPFFA"). Throughout this MOU, HPFFA and the City shall be collectively referred to as the "Parties."

1. TERM AND TERMINATION

This MOU shall commence on the date it is fully executed by representatives of the Parties authorized to make the agreement and will remain in effect for so long as the Collective Bargaining Agreement 2025 through 2029 (CBA) remains in effect. The Parties will endeavor to follow the terms of this MOU in connection with the implementation and enforcement of the CBA.

2. PURPOSE AND SCOPE

The purpose of this MOU is to clarify certain provisions in the CBA that may have a fiscal impact on the City's budget and to ensure the Parties have a clear understanding of the applicability and limitations of certain articles in the CBA. The MOU is intended to prevent and preempt contract grievances between the City and HPFFA in terms of interpretation and application of certain articles in the CBA.

3. AGREED CAP ON SPECIAL AND INCENTIVE PAYS

The Parties agree that the aggregate incremental financial impact from implementation of Special and Incentive Pays contemplated in the CBA, compared to Fiscal Year 2024 actual amounts paid for these categories, shall be limited to no greater than $10,000,000.00 per Fiscal Year, or $50,000,000.00 of the contract term, exclusive of FICA and pension contributions, (sic)

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8. COMPENSATION

The Parties agree that the escalator percentages in Article 17, Section 2, entitled Base Salary, are contingent on joint efforts by the City and the Association to seek additional new revenues to the City for public safety. The Parties further agree that the additional new revenues must be sufficient to fund the City's budgeted cost of the CBA and the escalator percentages.

This MOU is strictly to clarify terms in the CBA and does not constitute an amendment or addendum to the CBA. Any disagreement between the signatory parties regarding this MOU will be brought to the attention of the Mayor and HPFFA President for resolution.

Nothing in this MOU is meant to reduce the current high level of cooperation that exists between the Parties.

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(JXA2) (bolding and capitalization in original).

Burden of Proof

22. The parties agreed that the Association had the burden of proof by a preponderance of the evidence.

Background

23. This Award assumes a general familiarity with the facts and with the terms used in the arbitration. Not all pertinent facts are recited in the background.

24. The parties negotiated the CBA per Texas Local Government Code Chapter 174.

25. Chapter 174 states, "The policy of this state is that fire fighters and police officers, like employees in the private sector, should have the right to organize for collective bargaining, as collective bargaining is a fair and practical method for determining compensation and other conditions of employment." Tex. Loc. Gov't Code § 174.002(b). It also recognizes that a reasonable alternative to strikes is a system of arbitration conducted under adequate legislative standards. Tex. Loc. Gov't Code § 174.002(c).

26. CBA Article 17 § 2 provides for base pay increases. It also provides for separate base pay escalators in parentheticals marked by an asterisk (*) within the parentheticals, e.g., "(with 3% pay escalator*)."

27. Below the pay increases and the parenthetical phrase "(with 3% pay escalator*), the following appears next to the asterisk, "*Escalator percentages are contingent on joint efforts by the City and the Association to seek and ensure additional new revenues to the City for public safety."

28. When the City Council approved the CBA, it had an estimate of the total cost of the CBA, which included the separate pay escalators for fiscal years 2026 through 2029. (CXA1A and CXA1B).

29. The City authored the MOU and asked the Association to sign it to clarify the CBA. The City and the Association signed it on June 11, 2024. (JXA2).

30. The MOU states that it does not amend the CBA and that its *purpose* is only to *clarify* certain CBA provisions. (JX2). It also states, "The Parties will *endeavor* to follow the terms of this MOU in connection with the implementation and enforcement of the CBA." *Id.* (emphasis added).

31. Adopted before the passage of Senate Bill 916 (S.B. 916), the City's Budget for fiscal year 2026 (FY26) began on July 1, 2025.

32. The Budget reflected the City's expectation of a $133 million decrease in FY26 due to the expiration of Texas Senate Bill 2476 (S.B. 2476) on September 1, 2025. (CXA2 and UXA7). S.B. 2476, effective January 1, 2024, required insurers to cover ambulance costs based on local rates set by counties and cities. (JXA7). Thus, the Budget did not contain the revenue from S.B. 916. *Id.*

33. Enacted in late June 2025 (after the parties signed and the City Council approved the CBA (JX1, CXA1A, and CXA1B)), S.B. 916 amended the Texas Insurance Code effective September 1, 2025, to allow the City to submit to the Texas Department of Insurance reimbursement rates for non-network emergency medical services (ambulance services). (CXA6). S.B. 916 allowed the City to collect more for ambulance services in FY26. (JXA3A).

34. The Fire Chief credibly testified that he asked the Association President for help to pass S.B. 916. Without contradiction, the Association President credibly described his and the Association's efforts along with the City's to pass that bill. Those efforts included the Association President meeting with legislative staffers and committee members to ensure the needed language was included in S.B. 916 and stayed in that bill.

35. The City provided witnesses to testify in support of S.B. 916.

36. Effective September 1, 2025, S.B. 916 amended the Texas Insurance Code to allow the City to submit to the Texas Department of Insurance reimbursement rates for non-network emergency medical services (ambulance services). (JXA3A and JXA3B). As a result of this legislation, the City estimated it would collect over $13 million in additional revenue in FY26 for ambulance services.

37. The City estimated the cost of the CBA to exceed $71 million for FY26, which began on July 1, 2025. (JXA8). That estimated number included the three percent pay escalator of approximately $11.7 million. *Id.* For fiscal year 2029, the City estimated that the CBA's cost would exceed $151 million. *Id.* That number included the cumulative cost of the escalator pay.

38. Per S.B. 916, the City filed ambulance rates in FY 26 with the Texas Department of Insurance and collected revenues based on those rates. (JXA6 and JXA9).

39. Per the City's collection of ambulance services revenues to date and the City's conservative projection based on that collection to date, it would collect over $13 million in FY26 in revenue based on S.B. 916. (JXA9 and McHenry testimony).

40. When the City did not pay the three percent escalator pay raise in FY26 for all classified HFD members following the effective date of S.B. 916, the Association filed the following Grievance:

> **<u>Brief Statement of the Grievance</u>**
>
> The City is in violation of the 2024-2029 CBA. Article 17, Section 2, provides for an across the board pay raise escalator provided additional revenues are secured. S.B. 916, allowing municipalities to collect additional EMS revenues,

> passed the 86th Texas Legislature, with the assistance of both Chief Muñoz and HPFFA President Marty Lancton. These joint efforts satisfy the prerequisite of new revenues to the City for public safety. The City budget did not include these revenues, as the bill was still pending at the time of budget adoption. This legislation was effective on September 1, 2025 and will provide new, unbudgeted revenue to the City generated directly from HFD services. The $13M-$15M new revenues projected from this recent legislation are sufficient to cover the 3% escalator agreed to by the City. The City has yet to announce the pay increases, despite months of advance notice that the legislation was soon to be effective.
>
> **Contract Sections Violated**
>
> The City has violated Article 17, Section 2 of the 2024-2029 CBA by failing to adopt 3% escalator pay raises based upon new revenues being realized by the City as a result of S.B. 916, passed by the 86th Texas Legislature.
>
> **Remedy Sought**
>
> 1. The City shall immediately adopt the 3% escalator pay raises for all classified members of the Houston Fire Department.
>
> 2. The City shall pay back pay from September 1, 2025 for all unpaid 3% escalator raises.

(JXA1) (bolding and underlining in original).

41. The City denied the Grievance leading to this arbitration per CBA Article 14.

SUMMARY OF ASSOCIATION'S POSITION

42. The Association urged that it showed that the City violated CBA Article 17 § 2 when it did not increase the pay of all classified HFD members by the three percent pay escalator in FY26.

43. It maintained that it showed that the City and the Association satisfied contingencies in Article 17 for the three percent pay escalator for FY26.

44. It urged the joint efforts of the City and the Association sought and ensured additional new revenues in FY26 to the City of over $13 million in the form of public safety money that paid for the three percent pay escalator for FY26. Per the Association, that amount exceeded the cost of the three percent pay escalator for FY26.

45. The Association also claimed that the MOU could only clarify, not amend, the CBA, and that the City's interpretation of the MOU that it required the new revenue to pay the entire cost of the CBA for FY26 was, in effect, a CBA amendment, not a clarification.

SUMMARY OF CITY'S POSITION

46. The City urged that the ambulance fees resulting from S.B. 916 were not new revenue, but instead the continuation of a source of revenue.

47. It also urged that the ambulance fees were not the result of joint efforts because only the City provided witnesses to testify at hearings on the bill. (CXA6).

48. Finally, the City argued that per CBA Article 17 and the clarifying MOU, the new revenue had to pay for the budgeted cost of the CBA plus the escalator percentages. (JXA2). Thus, per the City, the new revenue had to amount to over $71 million in FY26. (JX8).

OVERVIEW OF ANALYSIS

49. The Arbitrator evaluated the entire record including the evidence, the witnesses' credibility and accuracy, the CBA, the exhibits, and all arguments and applied general principles of contract interpretation to the CBA and the MOU.

50. The Arbitrator thoroughly and carefully considered all unaddressed arguments, and either rejected them or deemed it unnecessary to decide them. To illustrate, the Arbitrator determined he did not need to address Issue 2 as the parties announced they had resolved it.

51. References to evidence or other materials are not exhaustive or exclusive. Rather, references are representative samples**.**

52. An error may exist in a cite. The parties may ask for clarification for any reference or correction of any typographical error.

Evidence

53. For every fact determination, the Arbitrator evaluated the evidence and the witnesses' credibility and accuracy.

54. The Award does not recite every fact or reason to support a statement, but the Arbitrator considered all of them. The Arbitrator considered every admitted exhibit.

55. The Award does not note every evidentiary contradiction or every time witnesses corrected or altered their testimony or refreshed their recollections, but the Arbitrator considered all of them.

Credibility and Accuracy

56. The Arbitrator based credibility and accuracy findings on facts reasonably proving or disproving the witnesses' credibility and accuracy. For example, testimony may be inaccurate because of a defect in the perception of events or the common foibles of human memory. Other factors include the witnesses' opportunity, capacity, and ability to see or hear an event; the attention paid to the event; the presence or absence of stress, trauma, distractions, or emotions at the time of the event; the capacity and ability to recall events; consistency or inconsistencies; self-contradictions; substantiating or conflicting documents, testimony, or events; the opportunity to test the accuracy, completeness, and reliability of the witnesses' memory; the testimony's plausibility; witnesses' self-interest; witnesses' biases; and any animosity among witnesses.

Contract Interpretation

57. The parties agreed that Texas law governed the interpretation of the CBA and the MOU.

58. When interpreting the CBA and the MOU, the Arbitrator sought to ascertain the parties' true intentions as expressed in the documents and to construe each so as to reach a reasonable result based on that intent. *Temple-Eastex, Inc. v. Addison Bank*, 672 S.W.2d 793, 798 (Tex. 1984) ("In Texas, a writing is generally construed most strictly against its author and in such a manner as to reach a reasonable result consistent with the apparent intent of the parties.").

59. To achieve this objective, the Arbitrator examined and considered the entire writing to harmonize and give effect to all provisions so that none would be rendered meaningless, including but not limited to CBA Articles 17, 25, and 30 and the MOU. *J.M. Davidson, Inc. v. Webster*, 128 S.W.3d 223, 229 (Tex. 2003) ("we must examine and consider the entire writing in an effort to harmonize and give effect to all the provisions of the contract so that none will be rendered meaningless").

60. Similarly, the Arbitrator sought to avoid a construction that was unreasonable, inequitable, and oppressive. *Reilly v. Rangers Management, Inc.*, 727 S.W.2d 527, 530 (Tex. 1987) ("Courts will avoid when possible and proper a construction which is unreasonable, inequitable, and oppressive.").

61. Generally, the Arbitrator attached the meaning given by a reasonably intelligent person acquainted with all operative usages and knowing all the circumstances before and contemporaneous with making the contract. *Pinehurst v. Spooner Addition Water Co.*, 432 S.W.2d 515, 518 (Tex. 1968). Further, the Arbitrator gave the parties' words their plain, grammatical, and customary meaning, and construed them from a utilitarian standpoint, bearing in mind the particular activity covered. *Lenape Resources Corp. v. Tennessee Gas Pipeline Co.*, 925 S.W.2d 565, 574 (Tex. 1996) ("a court should construe a contract from a utilitarian standpoint, bearing in mind the particular business activity sought to be served").

62. Whether a contract is modified depends on the parties' intentions and is a question of fact. *Hathaway v. Gen. Mills, Inc.*, 711 S.W.2d 227, 228–29 (Tex. 1986).

63. Above all, the Arbitrator's authority is limited to the interpretation and application of the terms of the CBA and the MOU. The Arbitrator has no jurisdiction or authority and did not exercise jurisdiction or authority to establish provisions of a new agreement or variations of the present CBA or to arbitrate away, in whole or in part, any provisions. (JX1, CBA Art. 14 § 2).

Interpretation of CBA Article 17 and MOU

64. Applying general principles of contract interpretation as illustrated below, the CBA and the MOU only required the joint efforts of the City and the Association to obtain new revenue for public safety to pay only for the *added* cost of the three percent pay escalator for FY26, i.e., new revenue sufficient to pay approximately $11.7 million. The CBA and the MOU did not require such new revenue to pay for the three percent pay escalator *plus* the other CBA costs for FY26, i.e., new revenue sufficient to pay over $71 million.

65. Further, based on an evaluation of this record, including the witnesses' credibility and accuracy, and applying general principles of contract interpretation, the Association showed by a preponderance of the evidence that the MOU did not amend the CBA. *Hathaway*, 711 S.W.2d at 228–29.

66. For example, the City's interpretation of the MOU would amend rather than clarify the CBA—a violation of the principle to give effect to all provisions so that none will be rendered meaningless, *Webster,* 128 S.W.3d at 229, and to avoid a construction that is unreasonable. *Reilly,* 727 S.W.2d at 530.

67. To illustrate, CBA Article 17 § 2 states,

> The annual base salary for all ranks shall receive an increase as follows:
>
> ***
>
> Fiscal Year 26 (7/1/25 to 6/30/26) 3% (with 3% escalator*)
>
> ***
>
> *Escalator percentages are contingent on joint efforts by the City and the Association to seek and ensure additional new revenues to the City for public safety.

(JX1).

68. The asterisk is inside the parenthetical.

69. Thus, based on general principles of contract interpretation, the sentence, "*Escalator percentages are contingent on joint efforts by the City and the Association to seek and ensure additional new revenues to the City for public safety" only modifies "(with 3% escalator)."

70. The sentence does not modify the entire phrase "Fiscal Year 26 (7/1/25 to 6/30/26) 3% (with 3% escalator*)." *Cf. Sullivan v. Abraham,* 488 S.W.3d 294, 297 (Tex. 2016) (discussing in the context of statutory construction that (1) punctuation is a permissible indicator of meaning and (2) the last antecedent rule).

71. Moreover, the sentence that follows the asterisk begins with the phrase "Escalator percentages" reinforcing that this sentence only applies to the parenthetical phrase "(with 3% escalator)."

72. In turn, the MOU states,

> This MOU is strictly to *clarify* terms in the CBA and *does not constitute an amendment or addendum* to the CBA. ***

(JX2) (emphasis added).

73. But the City's interpretation of the clarifying MOU that the additional revenue must equal the CBA's FY26 cost *including* the three percent pay escalator *amends* the CBA *moving* the asterisk and *adding* the language in italics,

> The annual base salary for all ranks shall receive an increase as follows:
>
> ***
>
> Fiscal Year 26 (7/1/25 to 6/30/26) 3% (with 3% escalator)*
>
> ***

*Escalator percentages are contingent on joint efforts by the City and the Association to seek and ensure additional new revenues to the City for public safety *that pay for the escalator plus the CBA's Fiscal Year 2026 other costs*.

74. The City's interpretation requires the City and the Association's joint efforts to seek and ensure additional new revenues for public safety exceeding $71 million—a material amendment to the CBA—and renders meaningless the MOU's no-amendment restriction and the three percent pay escalator in CBA Article 17 § 2.

75. Based on this record and applying general principles of contract interpretation, the City's interpretation rendered meaningless the CBA Article 17 § 2 pay escalator for FY26 because it could not be achieved. *J.M. Davidson,* 128 S.W.3d at 229 ("we must examine and consider the entire writing in an effort to harmonize and give effect to all the provisions of the contract so that none will be rendered meaningless").

76. For example, based on an evaluation of this record, including the witnesses' credibility and accuracy, the City did not identify potential sources of additional revenue for public safety that equaled $71 million. Indeed, it did not identify any potential sources of additional revenue for public safety that would approach the estimated fiscal operating impact of the CBA for any fiscal year under CBA Article 17 § 2, including the estimated cost of over $151 million for fiscal year 2029. (JXA8).

77. In contrast, based on an evaluation of this record, including the witnesses' credibility and accuracy, the Association showed that the passage of S.B. 916 through the joint efforts of the City and the Association ensured additional new revenues for public safety that exceeded the cost of the three percent pay escalator for FY26, i.e., that goal was possible and was achieved. Further, at the time the City Council approved the CBA, the City and the Association knew of the potential revenue for the City from S.B. 916.

78. Moreover, the City's interpretation favors the City, the author of the MOU, e.g., it avoids the payment of the three percent pay escalator for FY26. *Temple-Eastex,* 672 S.W.2d at 798 ("In Texas, a writing is generally construed most strictly against its author and in such a manner as to reach a reasonable result consistent with the apparent intent of the parties.").

79. Thus, interpreting the "and" in the MOU as meaning that the additional new revenue must pay just for the *added* cost of the escalator is the only reasonable one given that the MOU may not amend the CBA. *Reilly*, 727 S.W.2d at 530 ("Courts will avoid when possible and proper a construction which is unreasonable, inequitable, and oppressive."); *Temple-Eastex,* 672 S.W.2d at 798. Any other interpretation leads to the MOU amending the CBA, a result expressly forbidden by the MOU. *Hathaway*, 711 S.W.2d at 228–29.

80. The only interpretation that

(1) respects the joining of two ideas (budget and escalator) by the word "and" without violating the MOU's no-amendment restriction,

(2) does not render the MOU's no-amendment meaningless,

(3) does not render CBA Article 17 § 2 meaningless,

(4) construes the MOU against its author

(5) harmonizes the MOU budget reference with the CBA's asterisk placement inside the parenthetical and

(6) harmonizes the MOU budget reference with the MOU's no-amendment restriction

is that the MOU's sentence referencing the budgeted cost must be read as a clarifying description that the new revenue must exceed the three percent pay escalator for FY26, not as an amendment that establishes a condition requiring new revenue of over $71 million, i.e., that the additional new revenues must be sufficient to fund the three percent escalator pay for FY26 when that amount is added to the CBA budget. Any other interpretation means the MOU amends the CBA, which the MOU forbids.

Joint Efforts

81. Based on an evaluation of this record, including the witnesses' credibility and accuracy, and applying general principles of contract interpretation, the Association showed by a preponderance of the evidence the joint efforts of the City and the Association sought and ensured the passage of S.B. 916 which resulted in the City being able to collect over $13 million in new revenue for fiscal year 2026.

82. For example, the Fire Chief asked the Association President to use his and the Association's good relationships with the Texas legislature to pass S.B. 916 with the necessary language for the City to obtain over $13 million in revenue for FY26. Also, the Association and its President spent hours meeting with legislative staff and members to ensure the necessary language was included in S.B. 916 and remained in the bill. Further, the City provided witnesses to testify in support of the bill with the necessary language.

New Revenue

83. Based on an evaluation of this record, including the witnesses' credibility and accuracy, and applying general principles of contract interpretation, the Association showed by a preponderance of the evidence that the over $13 million from these joint efforts was new revenue.

84. To illustrate, the City did not include this revenue in its approved FY26 Budget. Further, the City would not have been able to collect this money from insurance carriers without the passage of S.B. 916, which was effective on September 1, 2025. Moreover, S.B. 916 allowed the City to collect additional revenue from ambulance services. (JXA3A). Also, S.B. 916 was enacted in late June 2025 after the parties signed and the City Council approved the CBA. (JX1, CXA1A, and CXA1B).

Public Safety

85. Based on an evaluation of this record, including the witnesses' credibility and accuracy, and applying general principles of contract interpretation, the Association showed by a preponderance of the evidence that the over $13 million in new revenue from ambulance services pays for public safety.

86. For example, that new revenue funds personnel and equipment to transport ailing members of the public safely to health care providers who provide services to those ailing members of the public, i.e., pays for public safety.

Three Percent Escalator Cost

87. Based on this record, including the witnesses' credibility and accuracy, the Association showed by a preponderance of the evidence that the new revenue of over $13 million for public safety for FY26 would be collected and was sufficient to fund the approximate $11.7 million cost of the three percent pay escalator for FY26. (JXA8).

AWARD

88. Per CBA Article 14, this Award is final and binding on the parties with respect to the submitted issue.

89. Based on an evaluation of the evidence, including the witnesses' credibility and accuracy, the Associated showed by a preponderance of the evidence that the City violated CBA Article 17 § 2, further clarified by the MOU, by failing to provide an additional three percent escalator pay increase as a result of collaboration between the parties to identify new revenues for the City for FY26. The Grievance is sustained.

90. The Association is granted its requested relief. The City is to pay the three percent pay escalator for FY26 retroactive to September 1, 2025.

91. Because the Association was the prevailing party, the City is to pay the Arbitrator's fees and costs as provided in CBA Article 14 § 2(d).

92. This Award is in full resolution of all matters submitted to this Arbitrator. All relief not expressly granted herein is denied.

February 27, 2026
Date

William E. Hartsfield, Arbitrator